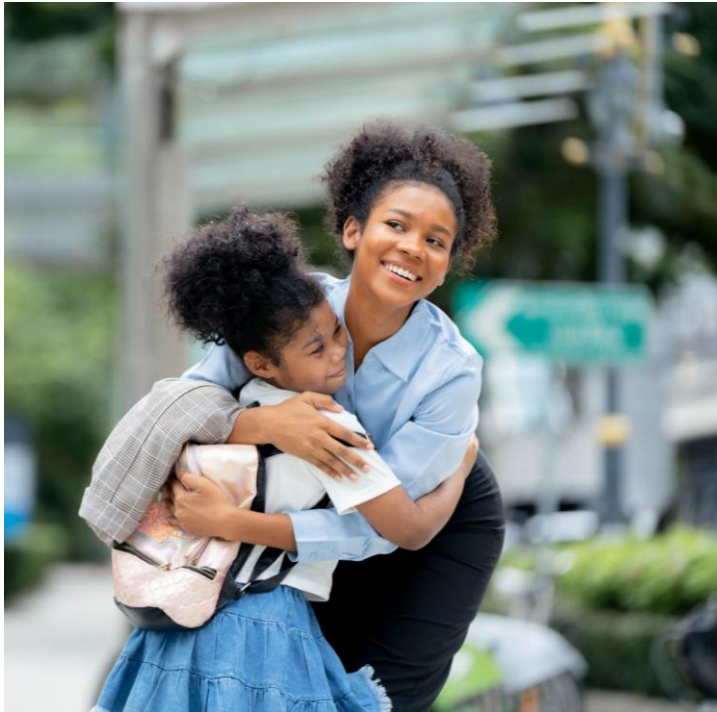




The Price of Parenthood: A Data-Driven Look at Childcare Cost in America

*Analyzing socioeconomic effects on
local areas*

Presentation Agenda



Rising Childcare Prices

We will discuss the significant increase in childcare prices over the past decade and its implications for families.

Urbanization Effects

This section will explore how urbanization influences childcare costs and access to services.

Workforce Participation

We will examine the impact of childcare prices on workforce participation among parents, especially mothers.

Costs and Race

An exploration of how childcare costs vary in relation to race and socioeconomic status.

Call to Action

We will conclude with a call to action for enhanced data collection on childcare pricing and accessibility.

A Decade of Rising Prices

Childcare Price Trends

Over the last decade, childcare prices have steadily increased, creating a growing financial burden for families.

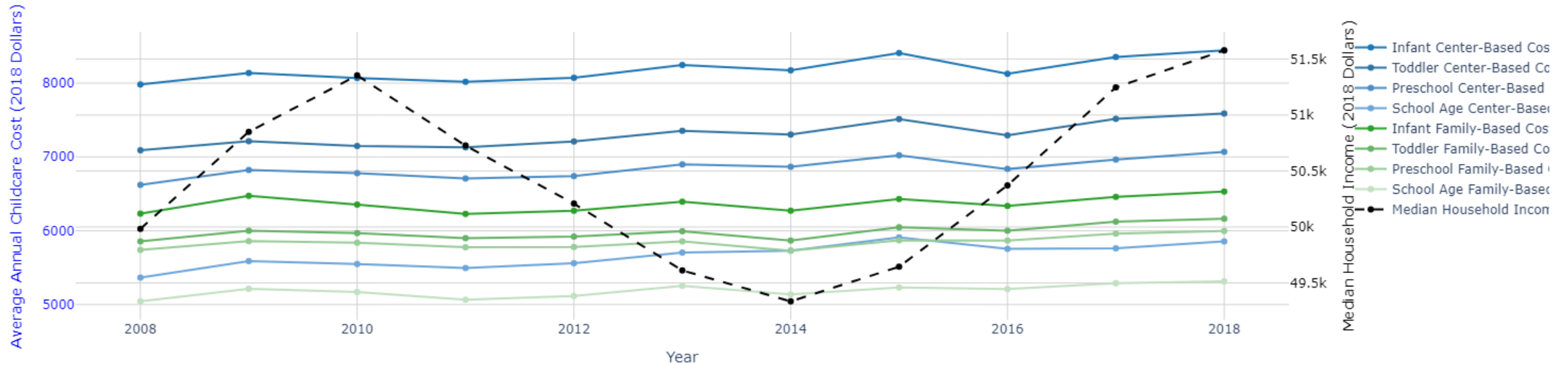
Household Income Comparison

Following the 2009 housing market crash, median household income dropped sharply, reaching its lowest point around 2013 before recovering. Despite this, childcare costs continued to rise, outpacing income growth.

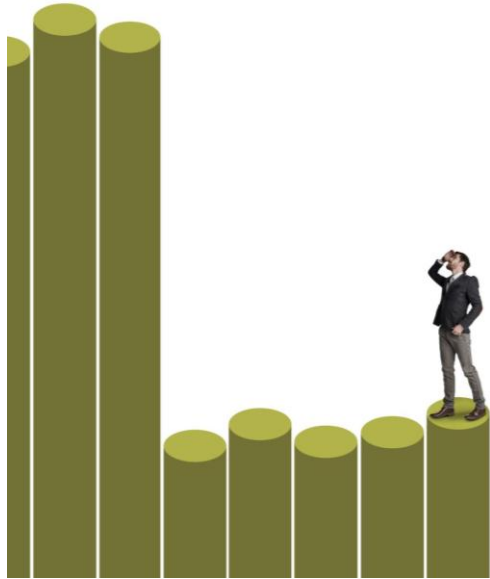
Affordability Challenges

By 2018, household income had rebounded, but childcare costs remained significantly higher than pre-recession levels, making affordability a persistent challenge.

Trend of Childcare Costs and Median Household Income Over Time



Childcare Prices vs. Household Income

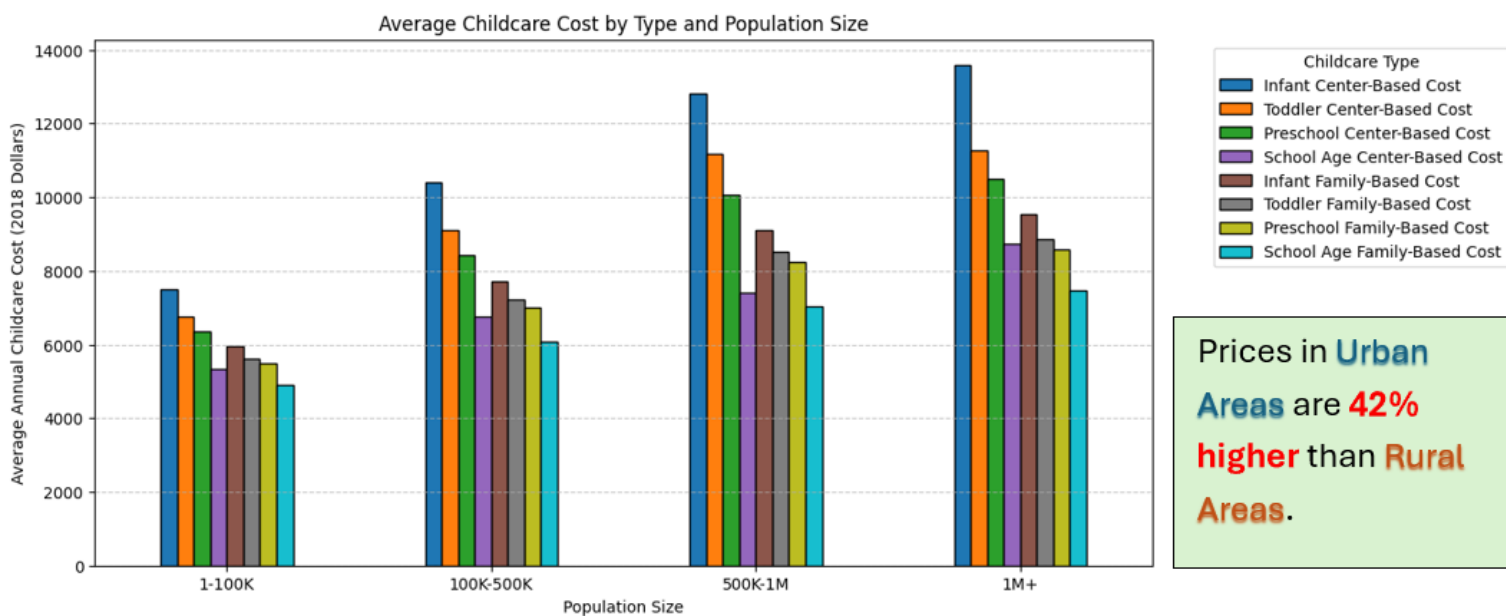


Call to Action

More **data is needed** to assess how government assistance programs helped families manage childcare costs during the downturn and to shape future policies for more accessible and affordable childcare.

Examining childcare subsidies, tax credits, and stimulus relief efforts could reveal how effective these measures were in supporting working parents through economic instability.

Urbanization Drives Costs Higher



Childcare costs increase as population size grows, with urban areas (1M+ population) having the highest expenses.

Infant Care Costs

Infant center-based care remains the most expensive across all population sizes, while family-based care tends to be more affordable, particularly in smaller communities.

Urban vs. Rural Cost Gap

Childcare in metropolitan areas costs nearly twice as much as in rural regions, likely due to higher wages for childcare workers, real estate expenses, and increased demand in cities.

Family-Based Care as a Cost Solution

Smaller communities often rely more on informal or family-based childcare, keeping costs relatively lower, though affordability remains a nationwide concern.

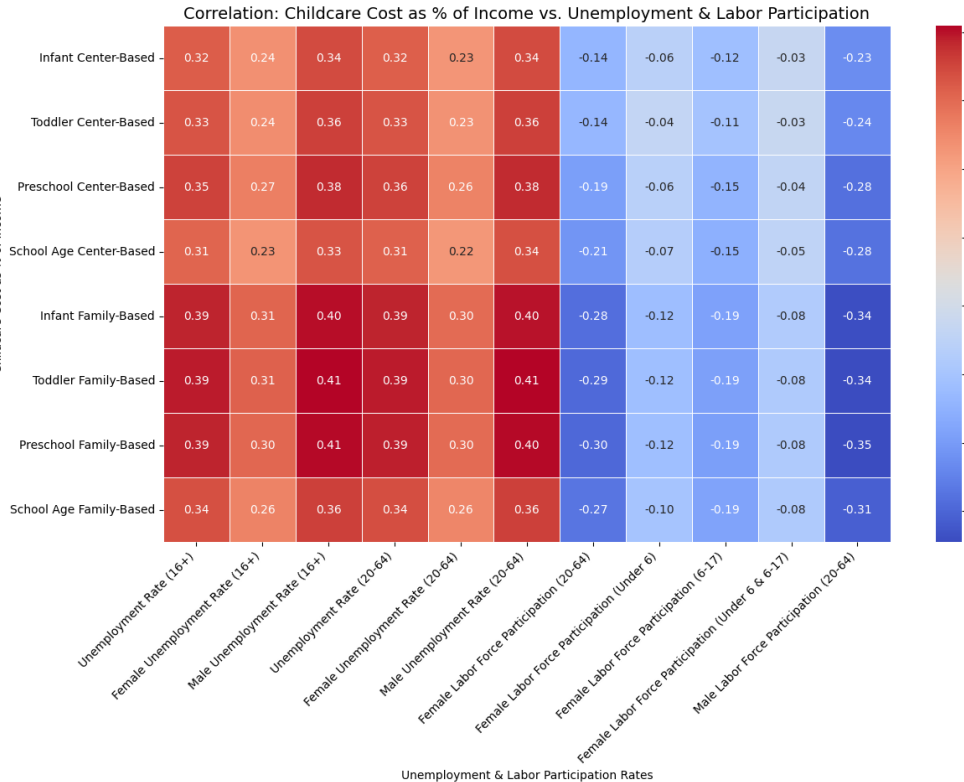
Price Comparison by Community Size

Call to Action

Additional **data on the supply and demand of childcare facilities** in urban and rural areas is needed. Further research into **family-based care availability and affordability** can help determine whether parents are choosing it by necessity or preference and identify opportunities to expand cost-effective childcare solutions.



Workforce Participation



Impact of Cost on Workforce Participation

Higher childcare costs are linked to increased unemployment and lower workforce participation, especially for parents.

Childcare Costs and Employment Trends

Warmer colors in the heatmap indicate that **higher childcare costs coincide with higher unemployment rates**, while cooler colors show a **negative correlation with labor force participation**, particularly among women.

Workforce Participation and Gender Disparities

As childcare expenses rise, **fewer women with children under six remain in the workforce**, and this trend continues for those with school-age children. **Male labor force participation is less affected**, reinforcing gender disparities in employment.

Economic Consequences

When parents—especially mothers—are forced to leave the workforce due to high childcare costs, **household incomes suffer, businesses lose workers, and overall workforce productivity declines**.

Childcare Costs and Labor Supply

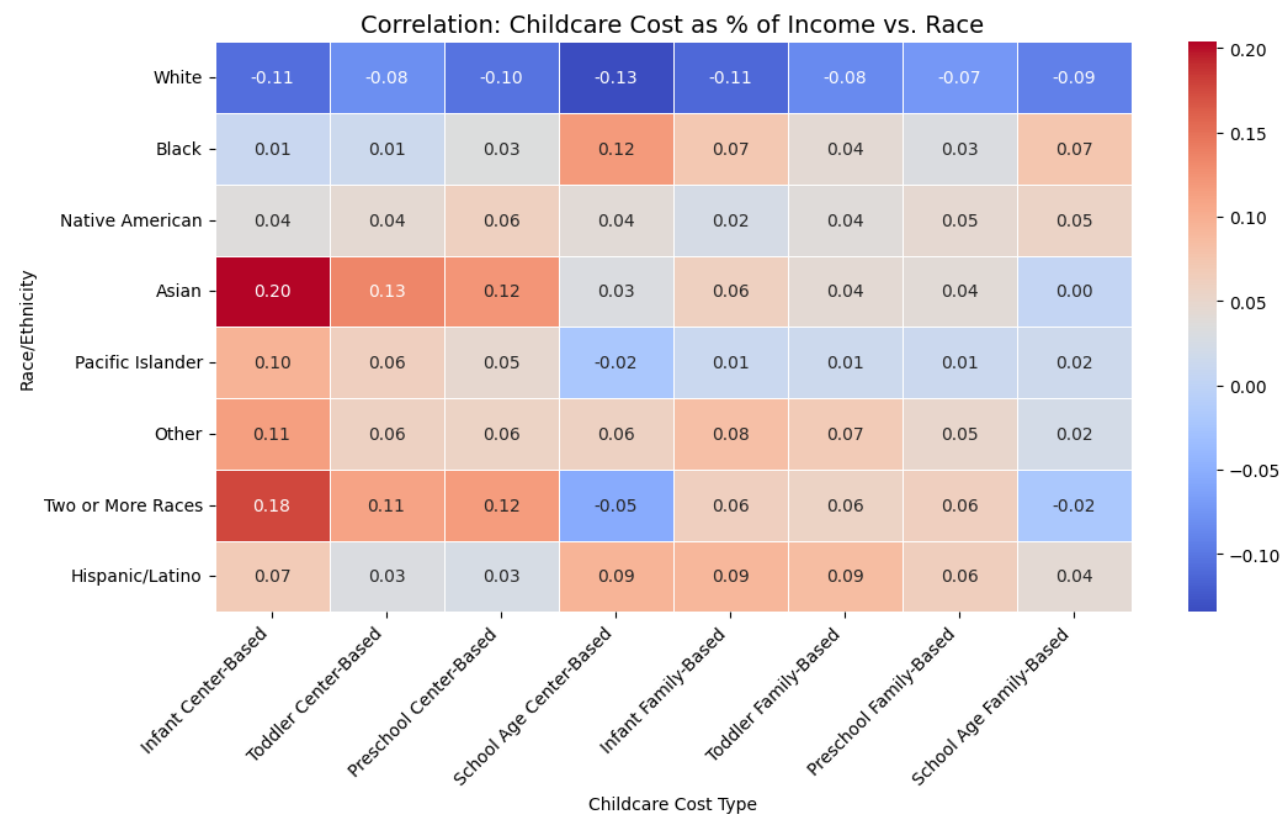
Call to Action

More data is needed to determine whether parents leave the workforce voluntarily or due to financial constraints.

Understanding this distinction is critical for shaping policies that support working families and strengthen the economy.



Preference or Economic Constraint



Higher Spending Among Asian and Multiracial Families

Asian and multiracial families show the **strongest positive correlation with childcare costs**, particularly for **infant and toddler center-based care**, possibly reflecting a cultural preference for formal early education.



Lower Costs for White Families

White families show a **negative correlation across all childcare types**, suggesting greater reliance on **informal care, employer-sponsored benefits, or access to lower-cost childcare options**.



Mixed Trends for Other Racial Groups

Black, Hispanic, and Native American families show **moderate positive correlations**, indicating that while childcare costs impact their household income, the effect is less pronounced than in Asian households.

Cost Disparities by Race

Call to Action

Further **research is needed to determine whether these trends result from affordability and accessibility challenges rather than cultural preferences.** Investigating **geographic childcare costs, employer support, and economic barriers** can help identify disparities and guide policy improvements.





Call To Action

Without a **stronger data foundation**, policies will continue to **fall short**, leaving families struggling with rising childcare costs. **Investing in better data collection** is crucial for designing policies that support affordability, accessibility, and economic stability.

Need for More Detailed Data

To shape better policies, we require **more transparent and detailed data collection**, including **finer geographic and demographic segmentation**.

Understanding Parental Workforce Choices

Targeted **surveys are needed to determine whether parents leave the workforce voluntarily or due to financial constraints**, ensuring policies address real economic challenges.

Evaluating Public Subsidies

More research is needed to assess **how public subsidies impact childcare affordability, market prices, and accessibility** for working families.

Conclusion and Next Steps



Impact of Childcare Prices

Understanding the implications of childcare prices is vital for communities to make informed decisions and policies.



Effective Policy-Making

Effective policy-making requires an in-depth understanding of the economic factors affecting childcare and community wellbeing.



Encouraging Collaboration

Collaboration among communities, policymakers, and researchers is essential to drive meaningful change in childcare affordability.